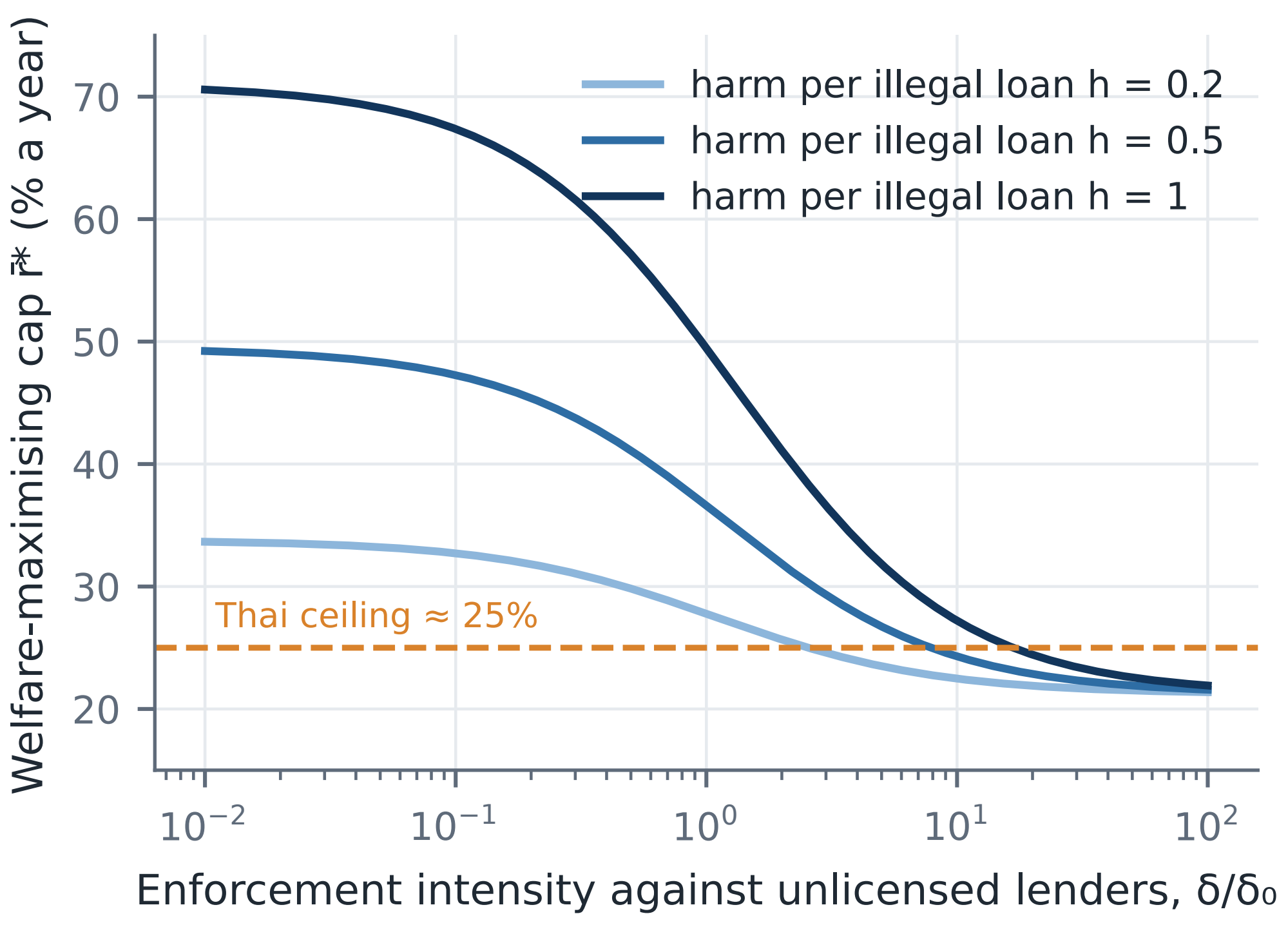
harm per illegal loan h = 0.2
harm per illegal loan h = 0.5
harm per illegal loan h = 1
Thai ceiling ≈ 25%
Welfare-maximising cap r̄* (% a year)
70
60
50
40
30
20
10^{-2}
10^{-1}
10^{0}
10^{1}
10^{2}
Enforcement intensity against unlicensed lenders, δ/δ₀